

two minor highs (the scallop top and the earlier peak in April). “Now that I think about it, the stop was too far away: 25%. That was a mistake.”

Price slid in a straight-line run, following the slope of the earlier downturn (January to March), a measured move down pattern that predicted a low of about 10. “That decline gave me confidence and room to ride out the small double top in June.”

Then earnings came out, and the stock gapped downward in mid-July, forming another scallop in August. “I remember rubbing my hands together with glee.” He calculated the price target for this lower scallop and saw that it was 4.87. He did not think price would drop that far, but he monitored it closely, trailing his stop along the way to capture more profit, just in case.

Price reached a low of 4.24 in early October and then started rebounding. His stop was at 6.35, a few pennies above the minor high in September (E) and just above the early October peak. When price touched his stop, his broker closed out the position.

From the buy price of 16 to the stop price of 6.35, he made 60% in about 5 months.

“I’m shaking my head about the stop placement in this trade,” he said.

“Price hit 4.24, and my stop was at 6.35. That’s 50% away. What was I thinking? I’ll have to work on that.”